Application Guide

For *'RBA bombshell exposes grim reality for Chalmers'* by John Kehoe (AFR 12 Aug. 25)

Fact from Article	Syllabus Link	Economic Concept	How to Use in Essay	Suggested Diagram
RBA cuts productivity growth forecast from 1% to 0.7% p.a.	Topic 3 ,- Economic Issues: Economic Growth, Productivity	Labour productivity; determinants of long-run economic growth	Explain how lower productivity shifts LRAS left, reducing potential output and slowing living standard growth.	AD/AS model showing leftward shift of LRAS
Sustainable GDP growth now 2% p.a., down from 3,-4% in 1990s,-2000s	Topic 3 ,- Economic Issues: Economic Growth	Potential output; trend growth rate	Compare historical high-productivity growth to current stagnation; discuss implications for fiscal capacity and living standards.	PPC inward shift
Wage growth above 3.2% risks inflation	Topic 3 ,- Economic Issues: Inflation	Cost-push inflation; wage,-price spiral	Link low productivity to reduced non-inflationary wage growth, impacting real incomes.	Phillips Curve shift upwards
Most growth now from population increase (1.3,-1.4% GDP growth)	Topic 3 ,- Economic Issues: Economic Growth; Distribution of Income	Three Ps (Population, Participation, Productivity); per capita GDP	Analyse how population growth boosts aggregate GDP but not per capita living standards.	AD/AS with AD shift right but no LRAS shift
Causes of low productivity: care economy growth, low investment, slow reform	Topic 4 ,- Economic Policies: Microeconomic Reform	Structural change; capital deepening; competition policy	Evaluate policy options to address structural causes of low productivity.	LRAS shift right after reforms
1990s,-2000s reforms + tech revolution boosted productivity to 2 - 2.5% p.a.	Topic 4 ,- Economic Policies: Microeconomic Reform	Impact of deregulation, tax reform, and technological change on growth	Use as historical precedent for effectiveness of structural reforms.	PPF outward shift